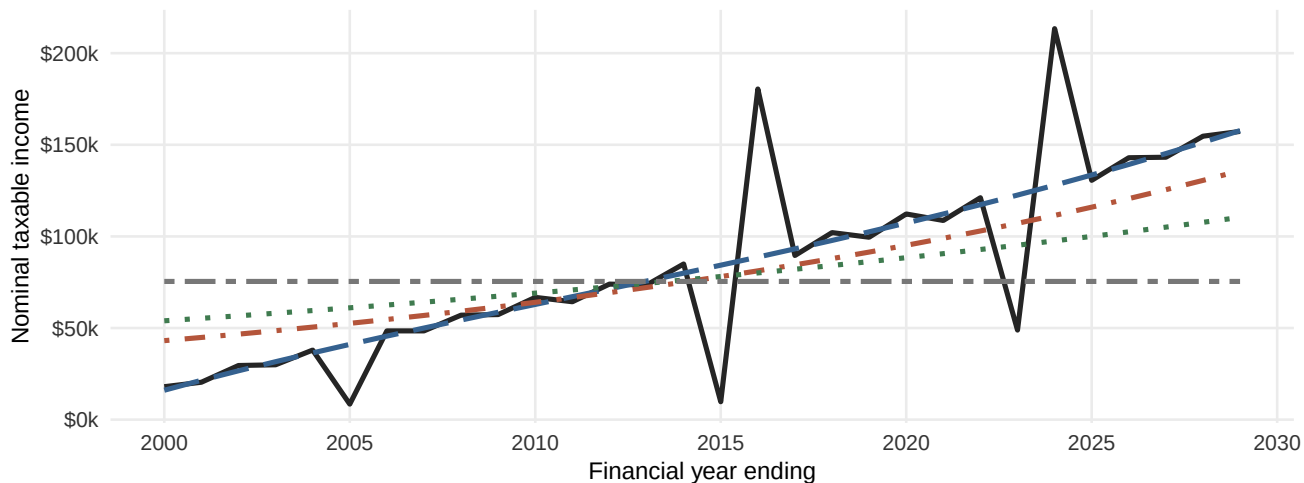


Averaging is a judgement about which variation to ignore

One path, several possible benchmarks



- Actual path
- Lifecycle-preserving average
- Constant relative to average income
- Constant real income
- Constant nominal income

Stylised path calibrated to average real income of \$100,000 in 2025 prices;
residual shocks sum to zero over the period.